(7) Important Methods of New Issue Mkt. – Public issue – Pvt. placement – Rights issue – Offer for sale –

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Class: OPEN ELECTIVE (Common to all)

Max. Marks: 50 Time: 2 Hrs.

Answer all questions

PART A (Each question carries 5 Marks) (7x5 =35 marks)

Capital Market is a market for financial assets which have a long or indefinite maturity. Normally, it deals with long-term securities which have a maturity period of above one year.

1. What is Capital Market? What is its importance?
2. Distinguish between Capital Market and Money Market.
3. Explain Industrial Securities Markets.
4. Explain Government Securities Market.
5. What is Money Market? What are its important Compositions?
6. What do you mean by Primary Market? What are its important functions?
7. Explain the important methods used in New Issue Market.

- It serves an important source for the productive use of the economy's savings.
- It mobilizes savings
- It provides incentives to savings
- It provides an avenue for investors
- It facilitates increase in production
- The operations of different institutions
- promotes stability in value of savings
- It serves as an important source for technological upgradations.

(4) It is otherwise called gilt edged securities mkt. – govt securities dealt – LT govt – ST govt – capital mkt – m-mkt – securities issued by Cent/State/semi-govt/Elected body – denomination = 100 – Int. payable half yearly – and carry tax exemption – Role of Brokers is limited – SLR requirements – Scope secondary mkt is less. – Promissory notes – Bearer Bonds

(5) MM is a mkt for dealing with financial assets and securities which have maturity period of up to one year. It is a mkt for purely ST funds – Call M mkt – Commercial Bills mkt – Treasury Bills Mkt – govt – Short-term Loan Mkt (ST loans)

(6) Primary Mkt – IPO – SEO – Public – Right – Bonus – PP – Stock issue before issue – underwriting – outright purchase – consortium – The function of sale of securities – Distribution – origination – underwriting

PART B (Each question carries 7.5 Marks) (2x7.5 =15 marks)

8. Explain the important innovative financial instruments available in the Indian financial markets.
9. Explain the Objectives, Powers and functions of Securities and Exchange Board of India (SEBI).

(2)

Money Market	Capital Market
It is a mkt for ST loanable funds	For Long term funds
Provides fund for current business operations. WC requirements.	It provides fixed capital
Bill of Exchange/Treasury Bills/Commercial Papers/Certificate of Deposits	Shares, Debentures, govt. bonds
MM instrument – Large in value / lakhs +	small in value – 10, 100.
Central Bank + Commercial banks / No role for brokers	Development bank + brokers
No Role of Secondary mkt	Secondary mkt do have
Happens over the counter (calls)	Through secondary mkt.

(3) – Industrial securities are dealt there – Equity share – Preference share – Debenture – Dealt through capital mkt. – Primary mkt – Secondary mkt. – Public issue – Right issue – Pvt-placement.

8 - Secured premium Notes with detachable warrants
- Equity shares with detachable warrants
- preference shares with warrants
- Non-convertible debentures with detachable warrants
- Fully convertible Ps.
- Zero interest fully convertible Debentures
- FCD - with interest
- Zero Interest, partly convertible Debentures
- Zero Interest Bonds
- Deep Discount Bonds
- Option Bonds
- Bonds with warrants.
- Green Bonds
- Sustainable link bonds
- Digital Bonds, Digital currency (crypto)

9. To overcome the issues in secondary mkt. Govt has setup SEBI - in April 12, 1988.
- non-statutory Body.
- SEBI Act came in 1992

Objectives -
To promote healthy and orderly growth in securities Mkt. and secure investor protection.
- To protect Investors
- To regulate securities Mkt and ensure fair practices by the issuers of securities.
- To promote efficient services by brokers, MBs, and other intermediaries

Powers:
- To call periodical returns from SE.
- To call for any informations from SE.
- To direct enquiries to be made SE/Members
- To grant approval to bye-Laws of RSE
- To make or amend by-Laws
- To compell listing of securities by public cos.
- To control & regulate SEs.

Functions:

Regulatory:
- SE & self regulatory organization
- Registration & regulation of brokers, sub-brokers, registrars to all issues, MBs, underwriters, portfolio managers and such other intermediaries in S Mkts.
- Registration & Regulation of collective investment schemes, MFs.
- Prohibition of fraudulent & unfair trade practices, in SMs
- Prohibition of insider trading
- Regulating substantial acquisition of shares and takeovers of companies.

Developmental Functions:
1. promoting investor education
2. Training of intermediaries
3. conducting research and publish informations useful to all market participants
4. Promotion of fair practices and code of conduct
5. promoting self-regulatory Organizations.